

In history

Peter Drucker studied the management of General Motors and published *Concept of the Corporation* in 1946. In 1954 he described management by objectives in *The Practice of Management*. Many firms adopted the method in the following decades, which made joint goal setting a common practice.

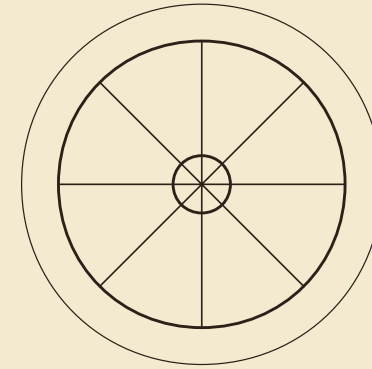


Plate VI. [An engraving will be placed here.]

CHAPTER VI

Decision Making

When the choice is costly and the future is hidden, how should a manager choose?



This chapter sets out the elements of a decision, the steps of the rational process, the conditions of certainty, risk and uncertainty, the tools of probability, and group decisions.

A boat needs all oars to follow one beat.

Objective. A result that an organization or person wants to reach.
Mission. The basic reason an organization exists.

Good objectives pass five tests.

Key result area. A field in which results decide the survival of the organization.

Management by objectives. A cycle in which managers and employees agree on goals, then review results.

GO SLOWLY HERE.

THE PUZZLE OF THE ROWERS

Eight rowers sit in a boat. Each rows hard, but each rows toward a different bank. The boat spins and goes nowhere. Hard work was not missing; shared direction was. Objectives give a group a single bank to row toward, and management by objectives is a method for making each rower's target fit the boat's.

THE NATURE OF OBJECTIVES

An **objective** is a result that an organization or person wants to reach. It differs from the **mission**, which states why the organization exists; objectives are the steps that carry out the mission. Objectives are *specific and measurable, set for a time, arranged in a hierarchy* (from top goals to daily targets), and *linked*, so that each supports the next level.

SETTING OBJECTIVES

A well-set objective is specific, measurable, achievable, relevant and time-bound; this checklist is credited to George Doran (1981). "Sell more bread" fails the tests. "Sell 3,600 loaves a month by June 2025" passes them. People also work harder when they share in setting the objective and when they know how progress will be measured.

Peter Drucker, in 1954, named eight **key result areas** where objectives should be set: *market standing* (share of customers), *innovation* (new ideas), *productivity* (output per input), *physical and financial resources*, *profitability*, *manager performance and development*, *worker performance and attitude*, and *public responsibility*. An organization that sets objectives in all eight is less likely to succeed in one area by neglecting another.

MANAGEMENT BY OBJECTIVES

Management by objectives (MBO) is a method in which managers and workers set goals together, agree on how they will be measured, and review the results at a fixed time. Drucker described it in *The Practice of Management* (1954). Its core idea is that people work better when they help to choose their targets.

The process is a cycle of steps. *First*, top managers set the organization's objectives. *Second*, these are passed down, so each department sets its own, matched to the top ones. *Third*, each manager and employee agree on personal objectives together. *Fourth*, each person plans the actions needed. *Fifth*, progress is checked at agreed times. *Sixth*, performance is appraised and rewarded, and the findings begin the next cycle.

GO SLOWLY HERE.
Expected value. The average result if a choice were repeated many times.

Groups bring knowledge, but they take time.

Bounded rationality. People choose with limited information and time.
Decision support system. Computer system that gives managers data for decisions.

TOOLS: PROBABILITY AND DECISION TREES

Under risk, managers use **probability theory**: each possible outcome receives a chance between 0 and 1, and the chances add to 1. The **expected value** of an alternative is each outcome multiplied by its chance, then summed. A **decision tree** draws the choice as branches: first the alternatives, then the states of nature, then the outcomes. Slowly, here is a first example. A coin pays Tk 100 on heads and Tk 0 on tails. Expected value = $0.5 \times 100 + 0.5 \times 0 = \text{Tk } 50$.

Worked example. Given: the second oven costs Tk 300,000. Net payoff after cost: high demand (chance 0.4) Tk 500,000; medium demand (0.4) Tk 200,000; low demand (0.2) a loss of Tk 100,000. Not buying pays Tk 0. *Find:* the expected value of buying. *Formula:* expected value equals the sum of chance times payoff. *Steps:* $0.4 \times 500,000 = 200,000$; $0.4 \times 200,000 = 80,000$; $0.2 \times (-100,000) = -20,000$. Sum: $200,000 + 80,000 - 20,000 = 260,000$. *Answer:* the expected value of buying is Tk 260,000, against Tk 0 for not buying. *Check:* the result lies between the worst (-100,000) and the best (500,000), and the chances add to 1.

Notice a *common slip*: using a loss as a positive number. Also note the limit: the expected value is an average, and the partners will earn one of the three outcomes, not the average. A careful manager asks whether the firm could survive the worst case.

GROUP DECISIONS AND OTHER FACTORS

A group has *advantages*: more knowledge, more alternatives, wider acceptance of the decision, and better understanding. Its *disadvantages* are slowness, pressure to agree, domination by a few, and divided responsibility. Groups suit complex decisions where support matters; individuals suit urgent or simple ones.

Real decisions face *constraints*: limited time, money and information, and the decision maker's own feelings and habits. Herbert Simon (1947) called this **bounded rationality**; managers often choose an option that is good enough, rather than the best. Managers also meet *programmed decisions*, which repeat and follow rules, and *non-programmed decisions*, which are new and need judgement. A **decision support system** helps with the second kind by letting managers test questions on data.

Case file, illustrative. Golden Crust's partners compute the expected value of the oven (Tk 260,000), judge that they can bear the worst loss of Tk 100,000, and decide in March 2025 to buy.

Summary

Planning chooses goals and the way to reach them. Plans are strategic, tactical or operational by level, and standing or single-use by repetition. The six steps run from awareness to action. Plans fail from unclear aims, wrong premises, rigidity and lack of support, and improve when people take part and results are checked.

Think it through

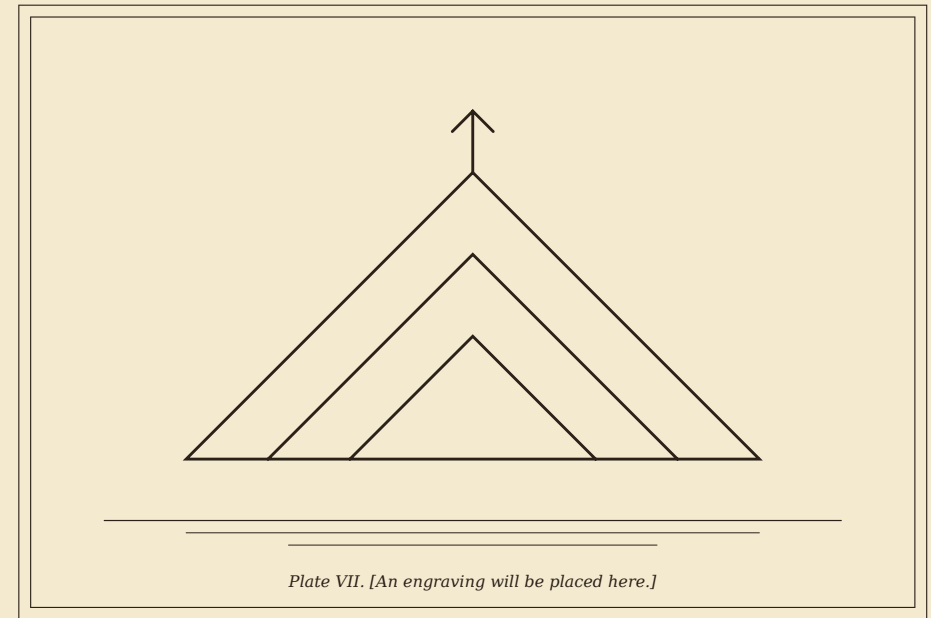
Golden Crust assumed flour would cost Tk 55 a kilogram, but it rises to Tk 66. Name the step of planning that was weak, and say what the plan should have included.

Where people go wrong

Students confuse policy with procedure: a policy guides thought, a procedure lists steps. Others think a plan must never change; a good plan has a date for revision.

In history

Before the Normandy landings in June 1944, Allied commanders planned for more than a year and prepared alternative dates and weather forecasts. When storms delayed the landing by one day, the plan allowed it. The story shows planning with premises and flexibility.



CHAPTER VII

Organizing

Two partners can share a counter; how do two hundred share a company?



This chapter explains what organizing is, the steps of the process, the forms and structure of organization, span of management, authority and delegation, centralization, coordination, and how an organization is designed.

A journey needs an end before a route.

Planning. Choosing goals and deciding in advance how to reach them.

Plan. A written or spoken statement of what will be done, when, and by whom.

Strategic plan. Long-range plan for the whole organization.

Tactical plan. Plan for a part of the organization.

Operational plan. Daily plan for a specific task.

Standing plan. A plan made once for situations that repeat.

Single-use plan. A plan made for one situation that will not repeat.

THE PUZZLE OF THE UNCHOSEN DESTINATION

A traveller leaves Dhaka by bus. Asked where she is going, she answers that she will decide on the road. By evening she is tired, far from any useful place, and unsure whether she has arrived. A journey with no destination cannot succeed or fail. Organizations are the same: until they decide where they are going, nobody can say whether they are on the right road.

MEANING, NATURE AND PURPOSE

Planning means choosing goals and deciding in advance the actions needed to reach them. The result is a **plan**. Planning looks forward: it asks what we want, where we stand now, and what we must do to close the gap.

Planning has several features. It is *primary*, because the other functions depend on it. It is *pervasive*, found at every level. It is *continuous*, since plans are revised. It is *forward-looking*, and it is *a choice among alternatives*. Its purposes are to give direction, to reduce risk by looking ahead, to cut waste, to set standards for control, and to help coordination because everyone works to one plan.

TYPES OF PLANS

Plans can be sorted in two ways. By *level*, a **strategic plan** covers the whole organization for several years and is set by top managers. A **tactical plan** turns it into steps for a department, and an **operational plan** guides daily tasks.

By *use*, a **standing plan** is made once and used again and again; a **single-use plan** is made for one occasion and then discarded. Standing plans include *policies* (general guides to decisions), *procedures* (steps in order) and *rules* (actions allowed or forbidden). Single-use plans include *programs* (a set of linked projects), *projects* (one task with a start and end) and *budgets* (a plan stated in money).

STANDING AND SINGLE-USE PLANS		
Kind	Used	Examples
Standing	Many times	Hiring policy, order procedure, no-smoking rule
Single-use	Once	Opening of a new branch, this year's budget

Read a row from left to right: the kind, how often it is used, and an example. A bakery's rule that bread is baked fresh every morning is standing. Its plan to open a second shop in March is single-use.

FORMS OF ORGANIZATION

The *line organization* is the simplest: orders go down one chain from owner to worker, as unity of command asks. Its strength is speed and clarity; its weakness is that one head cannot know everything. The *functional organization* groups workers by specialty, and each specialist directs all workers in that field. It uses expert knowledge but may break unity of command.

The *line-and-staff organization* adds specialists who advise but do not command, such as a legal adviser or accountant. It joins unity of command with expert advice, though friction may arise between line and staff. A *committee* is a group given a task, used for hard problems that need many views. A *matrix organization* gives a worker two bosses, one for the function and one for the project; it suits complex projects but needs careful coordination.

DEPARTMENTALIZATION

Departmentalization is the grouping of jobs into departments. Common bases are *function* (baking, sales, finance), *product* (bread, cakes), *geography* (Rajshahi branch, Dhaka branch), *customer* (retail, wholesale) and *process* (mixing, baking, packing). Each has a strength. The functional form builds expertise; the geographic form serves local needs. Large organizations often combine several bases.

SPAN OF MANAGEMENT

Slowly, now. The **span of management** (also called span of control) is the number of people who report directly to one manager. If a head baker supervises 5 workers, her span is 5. A *narrow* span means close supervision but many levels; a *wide* span means freedom but less supervision. More workers need more levels, so the span and the number of levels are linked: with a narrow span, the organization grows *tall*; with a wide span, it stays *flat*.

Factors that decide the best span: the *skill and training* of workers (high skill allows a wide span); the *similarity* of tasks; the *clarity* of plans; the *need for personal contact*; the *quality of communication*; the *distance* between workers; and the manager's own ability and time. Span is therefore an important concept, for it sets the shape and cost of the structure. *You should now be able to say:* the more people a manager supervises, the fewer levels the organization needs.

Line organization. Authority flows straight down, one superior for each person.

Functional organization. Specialists direct work in their field.

Line-and-staff organization. Line managers decide; staff specialists advise them.

Departmentalization. Grouping jobs into departments.

GO SLOWLY HERE.

Span of management. The number of subordinates one manager supervises.

Think it through

A new tax raises the price of imported flour at Golden Crust by 10 per cent. Name the part of the environment involved, and propose two responses from this chapter.

Where people go wrong

Some think ethics means obeying the law. Law sets the minimum, ethics goes further. Others think CSR is charity; Davis's model shows that it is a duty tied to power, not a gift.

In history

On 24 April 2013 an eight-storey factory building, Rana Plaza, collapsed at Savar near Dhaka, and more than 1,100 garment workers died. Afterwards, many firms and unions signed the Accord on Fire and Building Safety in Bangladesh, and inspections of factories began. The tragedy made the duty of managers toward workers a matter of public concern.

Structural techniques build coordination into the design. They are the *hierarchy* (the chain of command), *rules and procedures*, *plans and schedules*, *liaison persons*, *task forces and committees*, *integrating managers* (such as a project head), and *shared information systems*. Used together, they let ten departments work as one company.

ORGANIZATIONAL DESIGN

Bureaucratic model. Design by fixed rules, ranks and procedures.
Behavioral model. Design that stresses people, teams and flexibility.

The **bureaucratic model** designs the organization by rules, ranks and clear duties; it brings fairness and stability, but may be slow. The **behavioral model** stresses people, flat structures and teamwork; it brings motivation and speed, but may lack clear lines and is hard to run at large scale. Compare them: the first suits stable work such as a tax office; the second suits changing work such as a design studio.
What decides the design? The basic *situational factors* are the *environment* (stable or changing), the *technology* (routine or complex), the *size* of the firm, the *strategy*, and the *people* who work in it. These same forces, with the owner's wishes and the law, influence the formal structure.



Case file, illustrative. By 2026, Golden Crust has ten workers and two shops. The partners group workers by function (baking, sales), keep a span of five, and delegate daily purchasing to the head baker, who must report weekly to the partners.

Summary

Organizing arranges people and tasks so plans can be carried out. Its steps run from listing work to joining the parts. Forms include line, functional, line-and-staff, committee and matrix. Span of management shapes the number of levels. Authority, responsibility and accountability go together; delegation spreads authority; coordination holds the parts together; design depends on the situation.

Think it through

A manager supervises 8 workers and finds that mistakes are rising. Should he widen or narrow his span? Name two factors from the chapter that would help you decide.

Where people go wrong

Students treat authority and power as the same thing. They differ: authority is a right of position, power is influence. Others believe a manager may delegate accountability; he may delegate the task, but he remains accountable.

A flood far away changes a baker's costs.

- Environment.** Everything inside and outside an organization that affects its work.
- Internal environment.** Forces inside: owners, employees, culture.
- General environment.** Outside forces that affect all organizations.
- Task environment.** Outside groups that deal directly with one organization.

GO SLOWLY HERE.

Boundary spanning. Work of staff who deal with outsiders for the firm.

THE PUZZLE OF THE FLOODED FIELDS

Heavy floods destroy wheat fields in a distant region. Within weeks, the price of flour rises in Rajshahi, and a bakery that never saw the flood must raise the price of bread. The shop did nothing wrong, and yet it is affected. Managers cannot control every force around them, but they can learn to watch these forces and prepare for them.

INSIDE AND OUTSIDE

The **environment** of an organization is everything that affects its work. The **internal environment** is made of owners, the board, employees and the shared habits and values called *culture*. Managers can change much of it directly. The **external environment** lies outside and is much harder to change.

Experts divide the outside world in two. The **general environment** has five parts: *economic* (prices, income, interest rates), *technological* (new machines and methods), *sociocultural* (tastes, values, population), *political-legal* (laws, taxes, government), and *international* (foreign trade and competition). The **task environment** holds the groups that deal directly with the firm: customers, competitors, suppliers, and regulators.

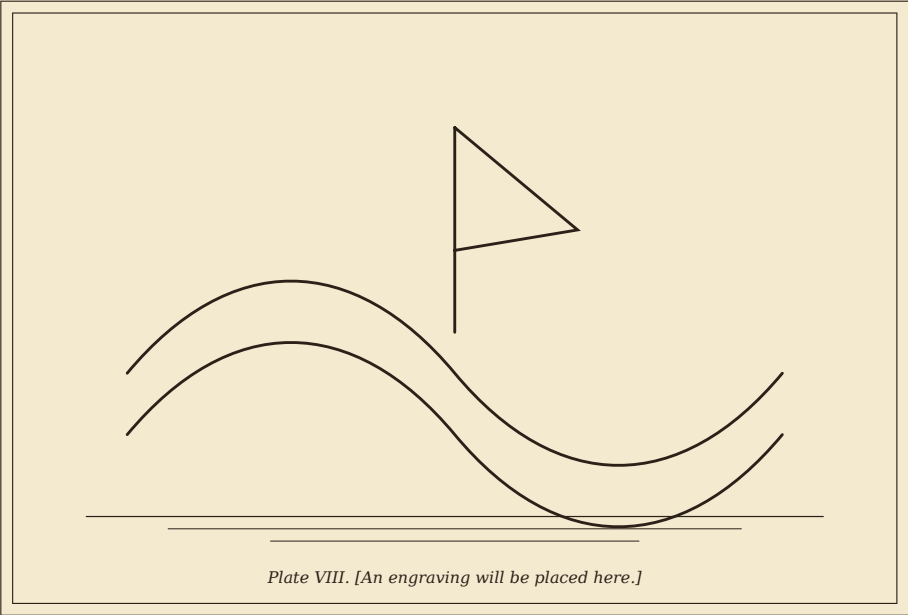
HOW THE OUTSIDE SHAPES THE INSIDE

Consider the effect of the outside on the inside. A new law on food safety (political-legal) forces the bakery to buy new equipment, which changes its budget and its staff training. A new rival nearby (competitor) forces a change in price, which changes its profit and its plans. A wave of interest in healthy food (sociocultural) changes what it bakes. Each external change travels inside as a change in plans, people or money. *You should now be able to say:* outside forces become inside decisions.

ADAPTING TO CHANGE

Organizations have several ways to respond. They can *forecast* changes and plan for them. They can *adapt*, by keeping structures flexible. They can *influence* the outside, by advertising or by presenting a case to government. They can *buffer*, by holding spare stock against shortages. They can use **boundary spanning**: staff such as buyers and public relations officers who deal with outsiders and bring back news. They can join with others through partnerships or mergers.

A baker who holds three weeks of flour has buffered against price shocks; one who signs yearly contracts with several mills has joined with suppliers. No single response is best. The



CHAPTER VIII

Leading

Why does one worker give her best and another give only her time?

This chapter examines the human side of management: motivation and its theories, groups, creativity, and the nature, power, styles and models of leadership.

In history

In 1888 Fayol became managing director of a French mining company that was in serious difficulty. He led it for thirty years, and by his retirement in 1918 it was financially sound. He credited the practice of the principles that he later wrote down.

Sources

Taylor, F. W. (1911), *The Principles of Scientific Management*.
Fayol, H. (1916), *Administration industrielle et générale*.
Weber, M., writings on bureaucracy, translated into English in 1947. Fayol's work is the landmark of administrative management.

Hierarchy of needs.
Maslow's ordered list of five human needs.

Informal group. A group formed from personal ties, not by management.

Creativity. Producing new and useful ideas.
Innovation. Putting a new idea into use.

Leadership. Influencing people to work willingly toward a goal.

Power. The ability to influence others.

able to say: motivation begins with a need and ends in satisfaction.

Abraham Maslow set out his **need hierarchy** in 1943. He proposed five needs, from lowest to highest: *physiological* (food, rest), *safety* (secure job, health), *social* (belonging, friendship), *esteem* (respect, status) and *self-actualization* (using one's full ability). A lower need must be mostly met before the next one grows strong, and a met need no longer motivates. A manager should therefore ask which need each worker feels now.



FIG. 7. Maslow's hierarchy of needs; the highest need sits at the top.

Read the figure from the base up. A worker without a steady wage (safety) will not respond to praise (esteem). Critics note that the order is not fixed for every person or culture. Still, the theory gives managers a practical question to ask.

GROUPS, CREATIVITY AND INNOVATION

People join **informal groups** and teams for many reasons: to meet social needs, to feel safe in numbers, to gain status, to share knowledge and help one another, and to reach goals they cannot reach alone. Such groups can raise morale or resist change, so a manager works with them rather than against them.

Creativity is the making of new and useful ideas, and **innovation** is the use of such an idea in a product or method. A creative idea is only an idea until the firm acts on it. Managers encourage both by allowing time for ideas, accepting honest failure, and rewarding good suggestions.

LEADERSHIP

Leadership is the process of influencing people to work willingly toward group goals. A leader need not hold a post; a respected worker may lead. A *manager* is appointed and handles planning, organizing and controlling; a *leader* gains followers by influence. The two roles overlap: managers are most effective when they also lead, and a leader without management skill cannot keep results steady. In short, management is about handling the work; leadership is about inspiring the people.

John French and Bertram Raven (1959) named five bases of **power**. *Legitimate power* comes from position. *Reward power* comes from the ability to give pay or praise. *Coercive power* comes from the ability to punish. *Expert power* comes from special knowledge. *Referent power* comes from admiration for

FAYOL'S FOURTEEN PRINCIPLES

Principle	Plain meaning
1. Division of work	Split work into specialised tasks to raise skill and output
2. Authority and responsibility	The right to give orders goes with the duty to answer for results
3. Discipline	Obedience and respect for agreed rules, from managers and workers
4. Unity of command	Each worker has one superior only
5. Unity of direction	One plan and one head for each group of related activities
6. Subordination of individual interest	Group goals come before personal ones
7. Remuneration	Pay is fair to both worker and firm
8. Centralization	The balance between top control and local freedom is set to suit the case
9. Scalar chain	A line of authority runs from top to bottom
10. Order	A place for each person and thing, and each in its place
11. Equity	Kindness joined with justice toward workers
12. Stability of tenure	Workers need time to learn, so turnover is kept low
13. Initiative	Allow people to plan and carry out their ideas
14. Esprit de corps	Team spirit, which comes from harmony and unity

Read a row as a pair: the name, then what it asks of the manager. Take unity of command. If a baker receives conflicting orders from two partners, she cannot satisfy both, and tension follows. The principle prevents this by naming one superior for each worker.

BUREAUCRACY AND THE HUMAN SIDE

Bureaucracy. An organization run by fixed rules, clear ranks and written records.

Human relations. The view that workers' feelings and social needs affect output.

Max Weber (1864-1920), a German sociologist, described the **bureaucracy**: clear division of labour, a hierarchy of authority, written rules, impersonal treatment, and careers based on merit. He saw it as fair and efficient for large tasks. Critics later found that it can become slow and rigid.

From 1924 to 1932 researchers studied workers at the Hawthorne Works of the Western Electric Company near Chicago. Elton Mayo of Harvard joined the work in 1927. They found that attention, group bonds and a sense of being valued changed output as much as pay or lighting did. This was the start of the **human relations** movement, which turned managers' eyes toward people.

monthly award (esteem need), ask for her ideas (Theory Y) and let her lead the Saturday counter (delegation and leadership).

Summary

Leading guides people. McGregor's Theories X and Y describe managers' assumptions. Motivation begins with a need and follows the needs-goal model; Maslow ranks needs in five levels. Leaders use five bases of power, need emotional intelligence, and choose from styles that range from autocratic to democratic, guided by the situation.

Think it through

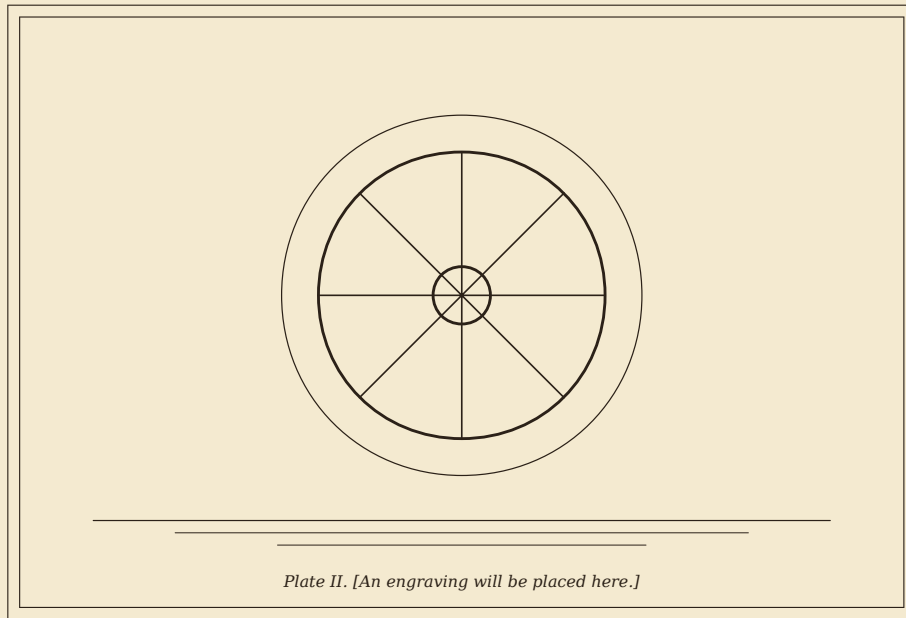
A worker who has a steady job and good friends keeps working slowly. Using Maslow, which need might now matter most, and which two actions could the manager take?

Where people go wrong

Students think a leader and a manager are the same person. They differ in how authority is gained. Others read Theory X and Theory Y as two kinds of worker; they are two sets of assumptions held by managers.

In history

From 1800, Robert Owen managed the cotton mills at New Lanark in Scotland. He improved housing for workers, opened a school for their children, and raised the age at which children could work. The mills remained profitable, which showed that care for workers and sound business could go together.



CHAPTER II

The Growth of Management Thought

Is there one best way to run an organization?

This chapter traces how ideas about management developed, from scientific management and Fayol's principles to the human, quantitative and situational approaches.

A small drift grows unseen.

Controlling. Comparing actual results with the plan and correcting the difference.

Monitoring. Watching progress to see what is happening.

Controller. A staff manager who designs and runs the control system.

GO SLOWLY HERE.

Standard. A target or measure against which results are judged.

THE PUZZLE OF THE LIGHTER LOAF

A customer complains that her loaf of bread feels lighter than last week's. The baker had not changed the recipe, but a worn scale had slowly drifted. By the time anybody noticed, hundreds of loaves had gone out under weight. A check made each morning would have caught the error on the first day. Controlling is the function that makes such checks regular and useful.

MEANING AND NATURE

Controlling means comparing actual results with planned results and taking action to correct any difference. **Monitoring** is the watching of progress; it provides the facts, whereas controlling adds the decision to act. Control is *continuous, forward-looking, linked to planning, a duty of every manager*, and aimed at *action*, not blame. Its basic principle is that control should match the plan: a measure has meaning only against an objective.

The relationship between controlling and the **controller** is this: the controller is an officer, often in finance, who builds and runs the system and reports results, but the duty to control remains with every line manager. The controller supplies the instruments; the managers use them.

THE CONTROL PROCESS

Slowly, now. The control process has three steps. *First*, set **standards**: a standard is a target, such as "each loaf weighs 400 grams." *Second*, measure actual performance: weigh a sample of loaves. *Third*, compare, and correct: if the difference is large, find the cause and act. The cycle then repeats.

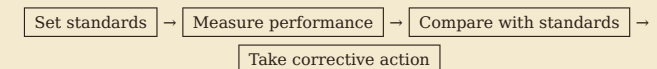


FIG. 9. The control process; corrective action sometimes changes the standard or the plan itself.

Deciding *what* to measure matters: measure what shows success (loaf weight, sales, waste), not only what is easy to count. Deciding *how* to measure matters too: by sample, by report or by observation, with enough accuracy and at a reasonable cost. A wrong measure leads people to chase the wrong result. *You should now be able to say*: control compares results with standards, then acts.

Worked example. Given: standard loaf weight 400 g; ten sampled loaves weigh 4,000 g in total. *Find*: the average weight and the variance. *Formula*: average equals total weight divided by number of loaves; variance equals actual minus standard. *Steps*: $4,000 \div 10 = 400$ g, so the variance is $400 - 400 = 0$. If the total were 3,800 g, the average is $3,800 \div 10 =$

Technical skill. Knowing how to do a specific kind of work.

Human skill. Ability to work with and understand people.

Conceptual skill. Ability to see the organization as a whole.

SKILLS OF MANAGERS

The researcher Robert Katz wrote in 1955 that managers need three skills. **Technical skill** is knowing how to do a particular kind of work, such as baking or accounting. **Human skill** is the ability to understand, motivate and work with people. **Conceptual skill** is the ability to see the whole organization and how its parts fit together.

SKILLS NEEDED AT EACH LEVEL			
Level	Technical	Human	Conceptual
First-line	High	High	Low
Middle	Medium	High	Medium
Top	Low	High	High

Read each row as a manager's mix of skills. A supervisor needs much technical skill, because he or she shows workers how to do the job. A top manager needs little of it but much conceptual skill. Human skill matters equally at every level, since every manager works through people. The *classic view* treats skills as fixed abilities of a role. The *contemporary view* adds that skills such as communication, flexibility and learning can be developed throughout a career.

PRODUCTIVITY, EFFICIENCY AND EFFECTIVENESS

Productivity. Output produced for each unit of input used.

Efficiency. Doing the thing right, with little waste.

Effectiveness. Doing the right thing, so goals are reached.

These three words are often confused. **Productivity** is output divided by input. If one baker makes 120 loaves in 8 hours, productivity is $120 \div 8 = 15$ loaves per hour. **Efficiency** means using the fewest resources for a given result. **Effectiveness** means reaching the goal that was set. A shop can be efficient and yet ineffective: it may bake perfect loaves that nobody wants to buy.

SCIENCE, ART OR PROFESSION?

Management is *science* in that it has organised knowledge and tested principles. It is *art* in that applying them to a living situation takes personal skill and judgement. Most scholars call it both: a science in its knowledge and an art in its practice. It is only partly a **profession**. It has bodies of knowledge and training, but a person may manage without a licence, and no single code binds every manager.

Profession. An occupation that requires long training and follows a code of conduct.

Case file, illustrative. Golden Crust Bakery opens in Rajshahi in January 2025. Two partners invest Tk 600,000 in an oven, tools and rent. In month one they sell 3,000 loaves at Tk 30 each, a

Case file, illustrative. Golden Crust weighs ten loaves each morning against a 400 g standard. In June 2025 the average is 380 g. The head baker recalibrates the scale, and the next day the average returns to 400 g. This is concurrent control; the monthly profit report is feedback control.

Summary

Controlling compares results with standards and corrects the difference. Its three steps are to set standards, measure performance and act. Control may be feedforward, concurrent or feedback. It works when it is accurate, timely, economical, understood and accepted, and it is hindered by resistance, over-control and poor measures. Planning and controlling are linked.

Think it through

Golden Crust's ten sampled loaves weigh 3,900 g in total against a 400 g standard. Calculate the average weight and the variance, and say which type of control the weighing is.

Where people go wrong

Students think controlling means punishing. Its aim is correction. Others confuse monitoring with controlling; monitoring only gathers facts, and controlling includes action.

In history

In 1924, Walter Shewhart of Bell Telephone Laboratories drew the first control chart, a graph that shows when variation in a process is too large to be chance. The chart became a basic tool of quality control in factories across the world.

Same oven, same flour,
different results.

THE PUZZLE OF THE TWO BAKERIES

Two bakeries stand on one street in Rajshahi. Both bought the same oven and the same flour. After a year, one earns a steady profit and the other is closing. Nothing in the ovens explains the difference. The difference lies in how the people were guided: who decided what to bake, who was told to do what, and who checked the result. That guiding work has a name, and this chapter explains it.

THE MEANING OF MANAGEMENT

Management. Getting work done through other people, to reach goals.
Organization. A group of people working together for a shared goal.

We begin with two words. An **organization** is a group of people who work together to reach a shared goal; a bakery, a school and a bank are all organizations. **Management** means the process of using people and other resources to reach the goals of the organization, by planning, organizing, leading and controlling. Notice that the manager's result comes through the work of others.
A manager's job, then, is not to bake the bread. It is to see that the right bread is baked, at the right time, at a cost the shop can bear.¹

WHY MANAGEMENT MATTERS

Management turns scarce resources into useful results.

Every organization has more wants than resources. Managers decide how money, people, materials and information are used. Good management reduces waste, keeps people working toward one goal, and helps the organization survive change. It also creates the conditions in which workers find their work worth doing. This is why the subject is studied by every future owner, employee and public official.

NATURE AND PURPOSE

Purpose. The reason an activity exists.

The **nature** of management means its main features. Management is *purposeful*: it aims at goals. It is *universal*: a shop, a hospital and a ministry all need it. It is *continuous*, because work never ends. It is a *group* activity, since managers need others. It works at *every level*, and it depends on *judgement*. Its **purpose** is to reach the organization's goals with the least waste of effort and money.
A second purpose is social. Managers also try to serve customers, give fair work to employees, and respect the community. These purposes sometimes pull apart, and balancing them is part of the manager's task. Chapter III returns to this.

- 6. Discuss the advantages and disadvantages of group decisions.
- 7. What is the best decision-making process?

CHAPTER VII: ORGANIZING

- 1. Define organizing, and explain why organizing is the primary mechanism by which managers activate plans.
- 2. List and describe the steps in the organizing process.
- 3. Distinguish between formal and informal organization.
- 4. Describe various forms of management organization.
- 5. What is span of management, and what factors decide it?
- 6. Is there a relationship between organizational levels and span of management?
- 7. Distinguish line, staff and functional authority.
- 8. Discuss the relationship between responsibility, authority and delegation, and the obstacles to delegation.
- 9. Discuss the advantages and disadvantages of centralization and decentralization.
- 10. Illustrate the basic coordinating activities and structural coordination techniques.
- 11. Compare the bureaucratic and behavioral models, and state the situational factors affecting design.

CHAPTER VIII: LEADING

- 1. Define motivation and explain why managers must understand it.
- 2. Draw and explain a model that illustrates the needs-goal theory of motivation.
- 3. Describe Maslow's need hierarchy theory.
- 4. What are the assumptions of Theory X and Theory Y?
- 5. How would you describe the human factors that affect management?
- 6. What is leadership, and how does it differ from management?
- 7. Illustrate the different types of leadership power.
- 8. What is emotional intelligence, and why does a leader need it?
- 9. Why do people join informal groups and teams?
- 10. Distinguish the trait approach from the situational approach.
- 11. Explain different styles of leadership; draw and explain the Tannenbaum and Schmidt model.
- 12. Describe transformational leadership, coaching and super leadership.

CHAPTER IX: CONTROLLING

- 1. What are meant by controlling and monitoring, and what is the nature of control?
- 2. What is the relationship between controlling and the controller?
- 3. What are the main steps of the controlling process?
- 4. Explain the significance of how and what to measure, and say what a standard is.
- 5. List and define the three basic types of control.
- 6. What are the requirements of effective controls, and how may the process succeed?
- 7. Describe several potential barriers to successful controlling.
- 8. Discuss the relationship between planning and controlling, and between power and control.
- 9. How can controlling help a manager to become more efficient?

TO THE READER

This book assumes that you know nothing about management. It begins with ordinary life, adds one idea at a time, and defines each new word in plain English before it is used.

Look at a page. The wide column holds the main text. The narrow column on its left holds *side notes*. A note in italics summarises the paragraph beside it. A note that begins with a word in bold gives the plain meaning of a **key term**. The same word appears in bold in the main text at its first use only, and nowhere else; italics are used for emphasis.

The words **GO SLOWLY HERE** mark an idea that is new and abstract. Read it twice. Small numbers in the text point to footnotes at the foot of the page. An imaginary bakery, set in Bangladesh and priced in taka (Tk), grows through the chapters as a *case file*. It is illustrative, not real.

Each chapter opens with a puzzle, teaches its ideas in layers (the idea, an example, the rule, and where the rule fails), and closes with a summary, a problem to think through, common mistakes, and a true story from history. Review questions are gathered at the back, followed by a glossary and an index.

Management by objectives. A cycle in which managers and employees agree on goals, then review results. (*Ch. V*)

Management science. Using mathematical models and computers to solve management problems. (*Ch. II*)

Middle managers. Those who carry out top managers' plans through a department. (*Ch. I*)

Mission. The basic reason an organization exists. (*Ch. V*)

Monitoring. Watching progress to see what is happening. (*Ch. IX*)

Motivation. The inner force that makes a person act toward a goal. (*Ch. VIII*)

Need. Something a person feels the lack of. (*Ch. VIII*)

Objective. A result that an organization or person wants to reach. (*Ch. V*)

Operational plan. Daily plan for a specific task. (*Ch. IV*)

Organization. A group of people working together for a shared goal. (*Ch. I*)

Organization structure. The formal pattern of jobs and reporting lines. (*Ch. VII*)

Organizing. Arranging people, tasks and resources so that plans can be carried out. (*Ch. VII*)

Plan. A written or spoken statement of what will be done, when, and by whom. (*Ch. IV*)

Planning. Choosing goals and deciding in advance how to reach them. (*Ch. IV*)

Planning premise. An assumption about the future on which a plan is built. (*Ch. IV*)

Power. The ability to influence others. (*Ch. VIII*)

Principle. A general guide to action, to be applied with judgement. (*Ch. II*)

Productivity. Output produced for each unit of input used. (*Ch. I*)

Profession. An occupation that requires long training and follows a code of conduct. (*Ch. I*)

Purpose. The reason an activity exists. (*Ch. I*)

Rational decision making. Choosing by steps that weigh facts and alternatives logically. (*Ch. VI*)

Resources. Things an organization uses to reach its goals. (*Ch. I*)

Responsibility. The duty to do an assigned task. (*Ch. VII*)

Risk. Outcomes are uncertain, but their chances are known. (*Ch. VI*)

Scientific management. Studying work by observation and measurement to find the best way to do it. (*Ch. II*)

Single-use plan. A plan made for one situation that will not repeat. (*Ch. IV*)

Situational approach. Best leadership depends on the situation. (*Ch. VIII*)

Span of management. The number of subordinates one manager supervises. (*Ch. VII*)

Staff authority. Right to advise. (*Ch. VII*)

Standard. A target or measure against which results are judged. (*Ch. IX*)

Standing plan. A plan made once for situations that repeat. (*Ch. IV*)

Steps. Five steps turn a plan into a structure. (*Ch. VII*)

Strategic plan. Long-range plan for the whole organization. (*Ch. IV*)

Super leadership. Leading others to lead themselves. (*Ch. VIII*)

Sustainability. Meeting present needs without harming the chances of future generations. (*Ch. III*)

System. A set of connected parts working toward one purpose. (*Ch. II*)

Tactical plan. Plan for a part of the organization. (*Ch. IV*)

Task environment. Outside groups that deal directly with one organization. (*Ch. III*)

Technical skill. Knowing how to do a specific kind of work. (*Ch. I*)

Theory X. The view that people dislike work and must be controlled. (*Ch. VIII*)

Theory Y. The view that people enjoy work and can direct themselves. (*Ch. VIII*)

Top managers. Those who set direction for the whole organization. (*Ch. I*)

Trait approach. Leaders are born with special qualities. (*Ch. VIII*)

Transformational leadership. Inspiring followers to look beyond self-interest to a shared vision. (*Ch. VIII*)

Uncertainty. Chances are unknown. (*Ch. VI*)

INTRODUCTION TO MANAGEMENT



*The principles of planning, organizing, leading and controlling,
explained from first principles for readers new to business*

BIJOY?!

First edition. Set in Libre Caslon Text and IM Fell English.
Illustrative cases are invented and are not real firms.



INTRODUCTION TO MANAGEMENT
BIJOY?!